Sourcing Center — Mutual NDA Template

Generic mutual non-disclosure agreement for early customer and supplier sourcing discussions

> General template—review with legal counsel before signing.

This is a blank mutual non-disclosure agreement for two parties who want to discuss a possible sourcing or supply relationship. It is not a signed agreement. The party lines are empty on purpose. The words "Sourcing Center" in the title name this form. They do not make any person or company a party unless that legal name is written on a party line and the form is signed. Downloading this file does not sign it, does not start a contract, and does not send information to anyone.

This form is not a government document, not a court form, and not a statement that any term has been approved or that it will be enforced. Complete the blanks and have counsel review the finished draft before anyone signs.

1. Parties and effective date

This Mutual Non-Disclosure Agreement ("Agreement") is between the two parties named below. Each is a "Party" and together they are the "Parties." It takes effect on the date written below (the "Effective Date") only once both Parties have signed.

Effective Date _____

Party A legal name _____

Party A address _____

Party A address (continued) _____

Party B legal name _____

Party B address _____

Party B address (continued) _____

A Party that discloses information is a "Disclosing Party." A Party that receives it is a "Receiving Party." The duties in this Agreement run both ways. Either Party may disclose information, receive it, or do both.

2. Purpose

The Parties may use and share information only to evaluate, and to carry on, early discussions about a possible sourcing, supply, manufacturing, inspection, logistics, or related commercial relationship (the "Purpose"). The Purpose they permit is what they write here:

Permitted purpose _____

Permitted purpose (continued) _____

The Parties may describe products, specifications, factories, samples, pricing, quantities, or logistics they are willing to discuss. Neither Party has to disclose any particular information.

3. Confidential information

"Confidential Information" means non-public information that one Party discloses to the other in connection with the Purpose, in writing, orally, visually, by sample, by access to a place or a system, or electronically, when that information is marked or identified as confidential, or when a reasonable person in the Receiving Party's position would understand it to be confidential from its nature and the circumstances of the disclosure.

Confidential Information may include specifications, drawings, formulations, samples, prices, volumes, supplier or customer identities, factory conditions, processes, and business plans, but only when the definition above is met.

4. Standard exceptions

Confidential Information does not include information that the Receiving Party shows:

(a) is or becomes public other than by a breach of this Agreement by the Receiving Party, or by someone the Receiving Party allowed to receive it;

(b) was already known to the Receiving Party, without a duty to keep it confidential, before the Disclosing Party disclosed it;

(c) is independently developed by the Receiving Party without use of the Disclosing Party's Confidential Information; or

(d) is rightfully received from a third party who is not, so far as the Receiving Party knows, prohibited from disclosing it.

5. People who may receive it

The Receiving Party may disclose Confidential Information only to its employees, officers, and directors, to its professional advisers, and to contractors it engages for the Purpose, and only when those people need to know the information for the Purpose and are bound by written or professional duties of confidentiality at least as protective as this Agreement. The Receiving Party is responsible for a disclosure by any of those people that would have breached this Agreement if the Receiving Party had made it.

6. Safeguards and permitted use

The Receiving Party will protect Confidential Information with reasonable care, suitable to the nature of the information, against use or disclosure that this Agreement does not allow, and will use it only for the Purpose. This Agreement does not require a particular product, certificate, or written security standard.

7. Disclosure required by law

If a law, a regulation, or an order of a court, tribunal, or government authority requires the Receiving Party to disclose Confidential Information, the Receiving Party may disclose the part that is legally required. Where notice is legally permitted, the Receiving Party will give the Disclosing Party prompt written notice before disclosing, so the Disclosing Party may seek a protective order or other remedy. The Receiving Party will cooperate reasonably with that effort, at the Disclosing Party's expense. Where the law does not permit notice, the Receiving Party may make the required disclosure without notice, and it does not have to break that law in order to give notice.

8. No license and no transfer of ownership

Confidential Information remains the property of the Disclosing Party. Disclosure does not transfer ownership. Disclosure does not grant a license or any other right under any patent, copyright, trademark, trade secret, or other intellectual property, except the limited right to use the information for the Purpose. No other right is granted by implication.

9. Return or destruction

When the Disclosing Party asks in writing, or when discussions for the Purpose stop, the Receiving Party will return or destroy Confidential Information in its possession or control. The Receiving Party chooses return or destruction, unless the Disclosing Party reasonably asks for the return of a particular tangible item that the Disclosing Party owns.

The Receiving Party may retain copies it must keep to satisfy a law, regulation, or professional rule that applies to it, and copies that remain in ordinary backup or archive systems and are not used in day-to-day work. Retained copies stay subject to this Agreement. They may be kept only for that legal, professional, or backup reason, and they may not be restored for any other use. The Receiving Party does not have to delete a residual backup copy that cannot reasonably be separated from a backup set until the ordinary backup cycle overwrites it.

10. No obligation to transact

This Agreement does not require either Party to continue discussions, to disclose information, to buy or sell goods or services, to issue or accept an order, or to enter any other transaction. Either Party may end the discussions at any time. Any supply, purchase, or services arrangement must be a separate written agreement signed by both Parties. This template is not that agreement. It does not set a price, a quantity, or a delivery date.

11. No warranty on information that is shared

Each Party provides Confidential Information as is. The Disclosing Party does not warrant that the information is accurate, complete, current, or fit for a purpose, and does not promise to update it. Sharing information does not guarantee goods, capacity, price, quality, timing, or any other commercial result.

12. How long protection lasts

The Parties choose the fixed period by completing the blank below before they sign. This template does not insert a number of years, and it does not adopt a period from any particular country or state.

Years after the Effective Date _____

The duty to protect Confidential Information lasts for the number of years written above, counted from the Effective Date. If the blank is empty, the Parties have not selected a fixed period.

Information that qualifies as a trade secret under applicable law remains protected for so long as it continues to qualify, including after the fixed period ends. This template does not decide which information is a trade secret, and it does not name a statute. Completing the blank above does not choose the law that decides trade-secret status. That choice, if the Parties make one, is the governing-law blank in the next section.

13. Governing law and courts

The Parties choose the governing law and the courts by writing them in. This template does not name a country, state, province, or city.

Governing law _____

Courts (forum) _____

☐ exclusive ☐ non-exclusive

The Parties mark one box. An empty box is not a selection.

If the governing-law line is filled in, that law governs this Agreement, without the conflict-of-laws rules that would select the law of another jurisdiction. A Party may strike that exclusion by writing "conflict-of-laws rules apply" beside the governing-law line. If the courts line is filled in, the Parties submit to those courts on the basis marked above, either exclusive or non-exclusive. If either line is blank, this template has not made that choice.

A Party may ask any court with jurisdiction for temporary or provisional relief to protect Confidential Information. A request for that relief does not choose the governing law or the forum.

14. Amendments, severability, and scope

Any amendment must be in a writing signed by both Parties. A website notice, a click, a purchase order, an email that both Parties have not signed, or a course of conduct does not amend this Agreement. Website terms of use are not part of this Agreement. Visiting a website, or downloading this file, does not create a contract and does not bind either Party.

If a provision is held unenforceable, the remaining provisions continue in effect. The unenforceable provision is modified only to the minimum extent a decision-maker requires in order to enforce it, and only where modification is allowed. If it cannot be modified, it is severed.

This Agreement is the entire agreement between the Parties about confidentiality for the Purpose. It replaces earlier discussions on that subject only. It does not replace a later written contract the Parties sign. It contains no non-compete, no non-solicitation covenant, no non-circumvention covenant, no penalty, no liquidated damages, and no payment obligation. None of those terms is implied.

15. Notices

A written notice under this Agreement may be delivered by hand, by a courier that records delivery, or by email to an address a Party writes below. A Party may change its notice details by written notice to the other Party. These lines are optional. Leaving them blank does not sign this Agreement.

Party A notice email (optional) _____

Party B notice email (optional) _____

16. Signing

The Parties may sign separate copies, including a scan of a signed page. This Agreement begins only when both Parties have signed and delivered the signed copies, and only for the legal names written in the blocks below. A blank block is not a party. Nobody has signed this template. It carries no seal and no signature image.

By signing a completed block, the individual states that he or she is an authorized representative of the Party named in that block.

Party A

Legal name

Authorized representative (print name)

Signature

Title

Date

Party B

Legal name

Authorized representative (print name)

Signature

Title

Date

General template—review with legal counsel before signing.